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WYNDHAM POINTE COMMUNITY DECLARATION OF EASEMENTS, COVENANTS, CONDITIONS AND RESTRICTIONS

THIS DECLARATION OF EASEMENTS, COVENANTS, CONDITIONS AND RESTRICTIONS is made as of 7th day of December, 2001, by FORMOSA GARDENS HOMES, INC., a Florida corporation (the "Declarant").

BACKGROUND

Declarant has the right to impose easements, covenants, conditions, and restrictions on the real property located in Osceola County, Florida that is described in Exhibit "A" attached hereto and made a part hereof by reference (the "Property"). Declarant desires to establish and impose upon the Property a general plan for development and operation of a single-family detached residential subdivision thereon, and for the purpose of enhancing and protecting the value and desirability of the Property for its present and future owners. Declarant is imposing the easements, covenants, conditions, and restrictions that are set out below for these purposes.

NOW THEREFORE, Declarant hereby imposes upon the Property, and subjects the Property to, the easements, covenants, conditions, and restrictions (the "Restrictions") set forth below. Hereafter, the Property and all portions thereof shall be held, and all dispositions of the Property or any portion thereof or interest therein (whether by sale, lease, mortgage, or otherwise) shall be subject to, this Declaration. These Restrictions shall run with the land, shall burden and inure to the benefit of every portion of the Property, and shall apply and be binding upon all parties having or acquiring any right, title, licenses or interest in the Property or any portion thereof.

DEFINITIONS

1. Definitions. The following terms when used in this Declaration shall have the definitions ascribed to them below, except where the context clearly indicates a different meaning:

A. "Articles" shall refer to the Articles of Incorporation of the Association, a copy of which is attached hereto as Exhibit "B", as they be from time to time amended or supplemented.

B. "Assessments" shall refer to charges levied against the Owners and their properties by the Association from time to time as more fully provided below.

C. "Association" shall refer to a Florida not-profit corporation to be formed to enforce this Declaration, to own, manage, and maintain the Common Area, to levy Assessments, and to perform such other functions as may be specified in this Declaration or in another Governing Document.

D. "Board" shall refer to the Board of Directors of the Association.

E. "Bylaws" shall mean the Bylaws of the Association, a copy of which is attached hereto as Exhibit "C", as they may from time to time be amended or supplemented.

F. "Common Areas" shall refer to those easements and areas of land, and improvements thereon, if any, that the Association owns for the common use, benefit, and enjoyment of all Owners and such other areas as may be designated as Common Areas herein or on the plat.

G. "Community Systems" shall mean and refer to any and all cable television, telecommunication, internet access, security or other lines, conduits, wires, amplifiers, towers, antennae equipment, materials, installations and fixtures (including those based on, containing or serving future technological advances not now known) installed by Declarant or the Association or pursuant to any grant of easement or authority by Declarant or the Association within the Property and serving more than one Lot.

H. "Conservation Areas" shall refer to all portions of the Property designated in this Declaration, on a recorded plat, in the Master Declaration, or in drainage, DRI, or other permits or order affecting the Property, as wetlands, buffer, conservation easements, and other areas designated as "conservation areas", that must not be developed or improved and that must be maintained in their natural state.

I. "Declarant" shall refer to FORMOSA GARDENS HOMES, INC., a Florida corporation, and successors and assigns.

J. "Declaration" shall refer to this instrument and to all amendments and supplements hereto.

K. "Design Standards" shall refer to documents promulgated (or to be promulgated) by the Declarant and the Master Association, as amended from time to time, setting forth design standards, specifications, and other criteria to be used by the Master Association in approving or disapproving proposed Improvements within Formosa Gardens, for ensuring proper maintenance of properties within Formosa Gardens, and for determining compliance with the Master

Declaration. The Design Standards may include guidelines, specifications, and criteria for design of Improvements and landscaping such as site planning, construction, signage, lighting, landscaping, parking, and utilities.

L. "Formosa Gardens" shall refer to the real estate development located in Osceola County, Florida of which the Property is part.

M. "Governing Documents" shall refer to this Declaration, the Master Declaration, the Bylaws, and the Articles. In the event of conflict or inconsistency among the Governing Documents applicable to the Association, to the extent permitted by law, the Master Declaration, the Declaration, the Articles, and the Bylaws, in that order, shall control. In the event of conflict or inconsistency between the Governing Documents for the Master Association and the Association's Governing Documents, to the extent permitted by law, the Governing Documents for the Master Association shall control. One Governing Document's lack of a provision with respect to a matter for which provision is made another Governing Document shall not be deemed a conflict or inconsistency between such Governing Documents.

N "Improvements" shall refer to all structures of any kind, including without limitation buildings, fences, walls, signs, painting, grating, parking, landscaping, recreational structures, utility and drainage facilities and all other objects placed upon or changes made to, any portion of the Property.

O. "Lot" shall refer to those portions of the Property identified as individual lots on the Plat, and all buildings and Improvements thereon.

P. "Master Association" shall refer to the Formosa Gardens Master Association, Inc., a Florida corporation not-for-profit.

Q. "Master Declaration" shall refer to that Master Declaration of Easements, Covenants, Conditions and Restrictions for Formosa Gardens recorded in Official Records Book 1037, page 1864, Public Records of Osceola County, Florida, and all amendments and supplements thereto.

R. "Member" shall refer to members of the Association as determined pursuant to this Declaration and other Governing Documents.

S. "Owner" shall refer to the record owner of fee simple title for a Lot but excluding those having an interest in a Lot merely as security for the performance of an obligation.

T. "Plat" shall refer to that certain plat entitled WYNDHAM POINTE and recorded in Plat Book 13, pages 84, inclusive, Public Records of Osceola County, Florida.

U. "Property" shall refer to all real property made subject to this Declaration including such property as may from time to time be annexed under other provisions of this Declaration.

V. "Restrictions" shall refer to all terms, provisions, easements, covenants, conditions, restrictions, and other requirements imposed upon the Property by this Declaration.

The foregoing definitions shall also apply to variations of the defined terms (for example, the definition for a term defined in the singular shall also apply to uses herein of that term in the plural).

MASTER DECLARATION AND USE OF COMMON AREA

2. Incorporation of Master Declaration. This Declaration supplements the Master Declaration. The Master Declaration is incorporated herein by reference; and the Property is hereby declared subject to all provisions of the Master Declaration. Unless the conflicting provision of this Declaration specifically states that it controls notwithstanding other contrary or conflicting provisions, the provisions of the Master Declaration shall control over conflicting, contradictory, or inconsistent provisions of this Declaration. To the extent possible, the provisions of the Declaration are to be interpreted consistently with the Master Declaration. Except where the particular provision or the context require otherwise, the Property and the Lots shall be deemed "Property" and "Property Units", respectively, within the meaning of the Master Declaration. The Association shall be deemed a "Community Association" under the Master Declaration. All other defined terms in the Master Declaration shall have the same meaning herein as was given in the Master Declaration unless this Declaration prescribes a different definition for that term.

3. Owners' Easements of Enjoyment. Every Owner shall have a right and easement of enjoyment in and to the Common Area which shall be appurtenant to and shall pass with the title to every Lot, subject to the following provisions:

- (a) the right of the Association to charge reasonable admission and other fees for the use of any recreational facility situated upon the Common Area;
- (b) the right of the Association to suspend the voting rights to use of the Common Area by an Owner for any period during which any Assessments against his Lot remains unpaid; and for a period not to exceed 60 days for any infraction of the Association's published rules and regulations;
- (c) the right of the Association to dedicate or transfer all or any part of the Common Area to any public agency, authority, or utility for such purpose and subject to such conditions as may be agreed to by the Members. No such dedication or transfer shall be effective, and no mortgaging of the Common Area shall be effective, unless an instrument agreeing to such dedication, transfer or mortgaging signed by 2/3rds of each class of Members has been recorded.

- (d) the right of the Association to promulgate rules, regulations, and restrictions upon the use of the Common Area, and subject to conditions and restrictions in this Declaration;
- (e) The restrictions imposed on use of Common Areas in this Declaration and the Master Declaration.

4. Delegation of Use. Any Owner may delegate, in accordance with the Bylaws of the Association, his right of enjoyment to the Common Area and facilities thereon to the members of his family, his guests, his tenants, or contract purchaser who reside on the Lot. Otherwise, this right of enjoyment may not be delegated, but shall accompany and be appurtenant to ownership of a Lot.

5. Owner's Easement for Ingress and Egress. If ingress or egress to any Lot is through the Common Area, any conveyance or encumbrance of such Common Area is subject to such Lot Owner's easement for ingress and egress.

6. Conveyance of Common Area to the Association. The Common Area shall be conveyed to the Association free and clear of all encumbrances before FHA or VA insure their first mortgage within the Property.

MEMBERSHIP AND VOTING RIGHTS

7. Membership. Every Owner of a Lot which is subject to assessment shall be a Member of the Association. Membership shall be appurtenant to and may not be separated from ownership of any Lot which is subject to assessment. If additional properties are by annexation made subject to this Declaration, unless the annexation instrument prescribes otherwise, those additional properties shall be subject to the Association's jurisdiction, and the owners of those properties will be Members of the Association.

8. Class A Membership. Each Lot shall be allocated and entitled to one vote in any Association matter requiring a vote of the Members. When a Lot is owned by more than one person or entity, all such persons or entities shall be Members, but in no event shall more than one vote be cast with respect to their Lot. When a Lot is owned by more than one person or entity, those persons or entities shall designate one of them for the purpose of casting the vote that is appurtenant to their Lot. When a Lot is owned by an entity, the entity shall designate in writing a partner, officer, employee or other designee of the entity for the purpose of casting the vote that is appurtenant to the entity's Lot. All such designations shall be in accordance with the terms and provisions of the Bylaws.

9. Class B Membership. Notwithstanding any contrary language in this Declaration, Declarant may appoint all members of the Board and shall otherwise retain control of the Association, until the earlier of the following events:

- (a) Six (6) months after fee title of one hundred percent (100%) of the Lots has been conveyed by Declaration to Owner other than Declarant; or
- (b) Such earlier date as Declarant may determine in Declarant's discretion.

Until one of the foregoing events occurs, Declarant will be deemed to possess no less than all of the votes that may be necessary to allow Declarant to control the outcome of any decision or vote of the Association.

COVENANT FOR MAINTENANCE ASSESSMENTS

10. Creation of the Lien and Personal Obligations of Assessments. The Declarant, for each Lot owned within the Properties, hereby covenants, and each Owner of an Lot by acceptance of a deed therefor (whether or not it shall be so expressed in such deed) is deemed to covenant and agree, to pay to the Association: (1) annual assessments or charges ("Annual Assessment") and (2) special assessments ("Special Assessment"), all of such assessment and charges to be established and collected as provided below. The Annual and Special Assessments, together with all interest, cost, reasonable attorney's fees, and other monies for whatever reason owed by an Owner to the Association, shall be a charge on the land and shall be a continuing lien upon the property against which each such Assessment is made and upon all other portions of the Property owned by that Owner. Each Assessment, together with interest, cost, and reasonable attorney's fees, shall also be the personal obligation of the person who was the Owner of such property at the time when the Assessment fell due. The Annual Assessment shall be allocated and assessed equally among the Owners, except during any guarantee period that may be provided for in any contract for the sale and purchase of a Lot between Declarant and as Owner. Assessments will commence with respect to a Lot after ownership of that Lot has been transferred by the Declarant to a third party or after Declarant constructs a permanent improvement on a Lot and that improvement is occupied.

11. Purpose of Assessments. The Assessment levied by the Association shall be used exclusively to promote the recreation, health, safety (including security measures for the subdivision), and welfare of the residents in the Property and of the homes situated upon the Property, for the improvement and maintenance of the Common Areas, and for fulfilling the functions of the Association pursuant to the Governing Documents.

12. Fund Reserves. The Annual Assessment shall include reserves for establishing and maintaining an adequate reserve fund for the periodic maintenance, repair, and replacement of Improvements to the Common Area, and for other purposes.

13. Special Assessments. In addition to the Annual Assessment, the Association may levy Special Assessments for the purpose of defraying the cost of extraordinary items of expense, emergencies, or other non-recurring expenses, such as the cost of construction, reconstruction, repair or replacement of a capital improvement upon the Common Area, including fixtures, equipment and personal property. Provided, however, that any such Special Assessment must be consented to by a majority vote of the Board. Special Assessments shall be allocated and

assessed equally among the Owners. Special Assessments shall be paid within thirty (30) days after notice of such Assessment sent to the Owner, unless otherwise provided in such notice by the Association.

14. Assessment Obligation of Declarant. Notwithstanding any contrary provision hereof, after the commencement of assessment payments Declarant, on behalf of itself and its successors and assigns, covenants and agrees to pay the full amount of the Assessment provided herein but only for each Lot that Declarant owns containing an occupied residence. Each Lot owned by Declarant which does not contain an occupied residence shall not be subject to assessment. Notwithstanding anything to the contrary in this Declaration, the Declarant may contribute Assessment due from it in services or materials or a combination of services and materials, rather than in money (herein collectively called "in-kind contributions"). The amount by which Assessment shall be decreased as a result of any in-kind contribution shall be the fair market value of the contribution. If the Declarant and the Association agree to the value of any contribution, the value shall be as agreed. If the Association and the Declarant cannot agree to the value of any contribution, the Declarant shall supply the Association with a detailed explanation of the service performed and material furnished, and the Association shall acquire bids for performing like services and furnishing like material from three (3) independent contractors approved by the Declarant who are in the business of providing those services and materials. If the Association and the Declarant are still unable to agree on the value, the value shall be deemed to be the average of the bids received from the independent contractors.

15. Establishing Annual Assessment. Each year, the Board shall prepare an estimated Annual Operating Budget (hereinafter referred to as the "Budget") not less than thirty (30) days prior to the commencement of the next fiscal year of the Association. Each Budget so prepared by the Board shall reflect the estimated annual expense of the Association for the applicable year and shall be subject to the approval of a majority of the Board present, in person or by proxy, at a meeting of the Board duly called for that purpose at which a quorum is present. Upon rendition of each year's Budget, the Board shall allocate an equal share of the annual expense of the Association to each Lot (except unimproved Lots belonging to Declarant). In the event additional Lots are added to the Property to which a share of the annual expenses of the Association should be allocated, then the Annual Assessment shall be adjusted quarterly to allow for the proper allocation of the annual expenses among those Lots existing as of the date of such adjustment. Upon the adoption of a Budget, the Board shall, not less than thirty (30) days prior to the due date of the applicable Assessment pursuant to the adopted Budget, provide written notice to each Owner, informing the Owner of the amount due and the due date thereof.

16. Working Capital Contributions. The Declarant may, but shall not be obligated to, establish a working capital fund for the initial operation of the Association. Working capital contributions may be collected by the Declarant from each Lot purchaser at the time of conveyance of each Lot to such purchaser in an amount equal to two (2) months of the Annual Assessment for each Lot. Each Lot's share of the working capital fund shall be collected and transferred to the Association at the time of the closing of the sale of each Lot, and shall be maintained in a segregated account for the use and benefit of the Association. The purpose of such working capital fund is to ensure that the Association's Board will have sufficient cash

available to meet unforeseen expenditures, or to acquire additional equipment, personal property, and services deemed necessary or desirable by the Board. Amounts paid into such fund are not to be considered as advance payments of Annual or Special Assessments.

17. Non-Payment of Assessment; Liens for Assessments. Regardless of how title is acquired, an Owner, including a purchaser at a judicial sale, shall be liable for all Assessments coming due while he is the Owner. In a voluntary conveyance, the grantee shall be jointly and severally liable with the grantor for all unpaid Assessment against the grantor up to the time of conveyance, without regard to any right the grantee may have to recover from the grantor the amount paid by the grantee. The liability for Assessments may not be voided by waiver of the use or enjoyment of any Common Area or other privilege or amenity, or by the abandonment of the Lot against which the Assessments are made, or otherwise.

Assessment, and installments thereof, not paid in full within ten (10) days from the date when they are due, shall bear interest at the highest lawful rate from the due date until paid in full. Additionally, the Board may levy a late fee of twenty-five dollars (\$25.00) for each month the Assessment remains unpaid, beginning with the original due date. Such late charges are not to be considered additional interest on unpaid Assessments. The Association has a lien on each Lot for any unpaid Assessment on such Lot, with interest, and for late charges, reasonable attorneys' fees at both trial and appellate levels, and costs incurred by the Association incident to collection of the Assessment or enforcement of the lien. The lien is effective from and after the recording of a Claim of Lien in the Public Records of Osceola County, stating the description Lot, the name of the record Owner, the amounts due and due dates. The lien is in effect until all sums secured by it have been fully paid or until barred by law. The person making full payment is entitled to a release of the lien. The Association may bring an action to foreclose a lien for unpaid Assessment in the same manner as a mortgage of a real property is foreclosed, and may also bring an action at law to recover a money judgment for unpaid Assessment without waiving its right under any Claim of Lien. If an Owner shall be in default in the payment of an Assessment or any part thereof, the Board may accelerate the remaining installments for Assessments for the fiscal year, upon notice to Owner, whereupon the unpaid balance of the Assessment due for the remainder of the fiscal year shall become immediately due and payable. The Association's acceptance of any subsequent payment of any Assessment, in whole or in part, shall not be deemed a waiver of the Association's right to enforce its lien against any Lot or to enforce the Owner's obligation to pay any such Assessment as provided in this Declaration.

18. Title Acquired Through or in Lieu of Foreclosure. The lien in favor of the Association for outstanding Assessments shall be subordinate to a bona fide mortgage on any Lot, which mortgage is recorded in the Public Records of Osceola County, Florida, prior to the recording of any Claim of Lien against such Lot. A lien in favor of the Association for outstanding Assessments shall not be affected by the sale or transfer of any Lot, except that in the event a first mortgagee obtains title to a Lot through foreclosure or by deed given in lieu of foreclosure, or in the event another person or entity acquires title to the Lot at a foreclosure sale, any such acquired of title, and his successors and assigns, shall not be liable for the outstanding Assessment pertaining to such Lot or chargeable against the former Owner which became due prior to such acquirer's acquisition of title. In the event a Claim of Lien has not been recorded

by the Association prior to the recording of the foreclosed mortgage or the mortgage for which a deed is given in lieu of foreclosure, the unpaid Assessment shall be deemed to be Assessment collectible from all Owners and may, at the discretion of the Board, be reallocated and assessed against all Lots, including the Lot acquired through foreclosure or deed in lieu of foreclosure. Any foreclosure sale or transfer made in lieu of foreclosure shall not relieve the acquirer of title from the liability for, nor relieve the Lot so acquired from, the lien of any Assessments made after such acquisition of title. Notwithstanding anything contained herein to the contrary, the prior Owner of any Lot sold or transferred pursuant to a foreclosure or deed in lieu of foreclosure shall not be released from liability to the Association for any outstanding Assessment.

19. Distribution of Uncollectible Assessments. If any Assessment is uncollectible from the assessed Owner because of bankruptcy of the Owner, the Association's inability to sue the Owner, foreclosure of the Owner's Lot by prior mortgagee, or if for any other reason the Board considers an Assessment uncollectible from the assessed Owner, the Board may distribute that Assessment equally among all Lots and thereby bind the Lots and their Owners as if the amounts so distributed were assessed against those Owners.

MASTER ASSOCIATION

20. Master Association Assessments. As prescribed in the Master Declaration, the Annual Assessment shall also include assessment levied by the Master Association the collection of which is the Association's responsibility. The Association shall collect and remit to the Master Association all such assessments.

21. Authority of Master Association. Notwithstanding any contrary provision of this Declaration, the Master Association shall retain primary authority to enforce all provisions of the Master Declaration. The Master Association shall have full authority to enforce the provisions of this Declaration. Before enforcing any provision hereof, the Master Association will instruct the Association in writing to do so. If the Association fails to do so within ten (10) days after receipt of the written instructions from the Master Association, then the Master Association may proceed to enforce that provision and shall be entitled with respect thereto to exercise all powers and authority that this Declaration allows to the Association. All costs of the Master Association in enforcing the provisions hereof may be assessed against the Lots in the same manner as this Declaration prescribes for other Assessments. Notwithstanding any contrary provision of this Declaration, neither the Association nor the Owners shall have any right or authority to do any of the following without first obtaining the Master Association's written consent:

- (a) Amend or modify this Declaration or any of the Governing Documents;
- (b) Sell or otherwise transfer or convey any of the Common Areas;
- (c) Demolish Improvements on Common Areas;
- (d) Substantially modify the design or appearance of a Common Area or of Improvements thereon; or

- (e) Waive or otherwise relieve an Owner or Lot from the obligation to comply with any provision or requirement of this Declaration, the Master Declaration, or another Governing Document.

22. Obligations of Association. The Association shall faithfully and timely perform all functions and fulfill all duties and obligations of a Community Association under the Master Declaration. The Master Association shall be entitled to compel the Association's performance hereunder and under the Master Declaration by injunction or otherwise, to enforce against the Association the provisions hereof and of the Master Declaration by one or more of all available remedies at law or in equity.

23. Enforcement of Master Declaration. From time to time, at the request of the Master Association or the Declarant, the Association shall take such action as the Master Association or the Declarant shall direct in order to enforce these Restrictions or the provisions of the Master Declaration against an Owner or Lot in violation thereof, or otherwise in order to enforce these Restrictions or the provisions of the Master Declaration. It shall be the Association's obligation fully to cooperate with the Declarant and the Master Association to ensure that this Declaration and the Master Declaration are fully and timely complied with by all Owners and Residents.

24. Membership in Master Association. Pursuant to the Master Declaration, the Association is a Community Association and is subject to all terms, conditions and provisions of the Master Declaration. As a Community Association, the Association is a member of the Master Association. Also, as a Community Association, the Association has duties and obligations set forth in the Master Declaration, including, but not limited to, the following:

- (a) The Association is the voting representative for all of its Members, pertaining to matters concerning the Master Association. For these purposes, the President of the Association is hereby designated as the Voting Representative and the Vice President of the Association is hereby designated to act as the Alternative Voting Representative. The Secretary of the Association shall certify in writing to the Master Association, from time to time, as to the identity of the persons holding the office of President and Vice President of the Association and their addresses;
- (b) The Association is responsible for the collection and payment to the Master Association of the assessments that are due the Master Association from Owners for their pro-rata share of Common Expenses of Formosa Gardens.

GENERAL RESTRICTIONS

25. Use of Lots. All Lots shall be used only for residential purposes. No business or business activity shall be conducted upon any Lot at any time except with the written approval of the Association. Leasing of a Lot for purposes of human habitation (including long-term and short-term rentals) shall not be considered a business activity and shall be permitted.

26. Animals and Pets. No animals, livestock, or poultry of any kind may be raised, bred, kept, or permitted on any Lot, with the exception of dogs, cats, birds (kept indoors), and fish in reasonable number, as determined by the Board. Any pets which are permitted to roam free, or, in the sole discretion of the Board, endanger the health, make objectionable noise, or constitute a nuisance or inconvenience to the Owners of other Lots or the owner of any adjacent property may be removed by the Board. No pets shall be kept, bred or maintained for any commercial purpose. Dogs which are household pets shall, whenever they are outside the Owner's Lot, be confined on a leash.

27. Unsightly or Unkempt Conditions. The pursuit of hobbies or other activities, including specifically, without limiting the generality of the foregoing, the assembly or disassembly of motor vehicles and other mechanical devices, which might tend to cause disorderly, unsightly or unkempt conditions on a Lot, shall not be pursued or undertaken in any part of the Property unless conducted out of the view of adjoining property and right-of-ways.

28. Signs and Flags. No sign or flag of any kind shall be erected or placed within the Property without the consent of the Board. Notwithstanding the foregoing, entry and directional signs installed by Declarant, signs placed by the Master Association, and such signs as may be required by legal proceedings shall be permitted. If permission is granted to any person to erect a sign within the Property, the Board reserves the right to restrict the size, color, lettering and placement of the sign. The Declarant shall have the right to erect signs as Declarant, in its discretion, deems appropriate.

29. Driveways and Parking. Each Lot shall have a single driveway. All proposed driveways shall be of concrete, brick, or pavers. No driveway may be constructed unless first approved by the Master Association as required elsewhere in this Declaration. Vehicles shall be parked only in the garages or in the driveways serving the Lots. Overnight parking is prohibited on the streets of the Property.

30. Prohibited Vehicles. Commercial vehicles with commercial writing on their exteriors, vehicles primarily used or designed for commercial purposes, tractors, mobile homes, recreational vehicles, trailers (either with or without wheels), campers, camper trailers, boats and other watercraft, and boat trailers shall be parked only in enclosed garages or, if approved by the Board, in another location concealed from view from adjacent property and from streets and right-of-ways. Stored vehicles and vehicles which are either obviously inoperable or do not have current operating licenses shall not be permitted on the Property except within enclosed garages. For purposes of this provision, a vehicle shall be considered "stored" if it is put up on blocks or covered with a tarpaulin, or otherwise appears in a state of disrepair, and remains in that condition for seven (7) consecutive days without the prior approval of the Board. Notwithstanding the foregoing, service and delivery vehicles may be parked in the Property during daylight hours for such period of time as is reasonably necessary to provide service or to make a delivery to a Lot or the Common Areas. Any vehicle parked in violation of this provision or parking rules promulgated by the Board may be removed by the Association.

31. Subdivision of Lot. No lot shall be subdivided or its boundary line changed except with the prior written approval of the Association. Declarant, however, hereby expressly reserves the right to replat any Lot or Lots. Any such division, boundary line change or replatting shall not be in violation of the applicable subdivision and zoning regulations.

32. Guns. The use of firearms in the property is prohibited. The term "firearm" includes "B-B" guns, pellet guns, and firearms of all types.

33. Mailboxes. The design, color, materials, size, location, and other details relating to the placement of a mailbox on any Lot shall conform to the architectural design of the current residence on that Lot, and shall be subject to prior approval as required elsewhere in this Declaration for construction of improvements. Each Owner shall always maintain his or her mailbox in a clean and attractive condition.

34. Sports and Recreational Equipment, Clotheslines, Garbage Cans, Tanks, Etc. All basketball hoops and backboards, trampolines, and other recreational equipment, clotheslines, garbage cans, wood piles, and other similar items on Lots shall conform to the architectural design of the principal residence on that Lot and shall be located or screened so as to be concealed from view of neighboring Lots, streets and property located adjacent to the lot. All rubbish, trash, and garbage shall be stored in appropriate containers approved as required elsewhere herein for construction of Improvements, and shall regularly be removed from the Lot and shall not be allowed to accumulate thereon.

35. Easements for Utilities, Etc. There is hereby reserved unto Declarant, the Association, and the designees of such an easement upon, under, and above all Lots for such purposes and uses as Declarant or the Association deems necessary or desirable (which may include, without limitation, access, installation, replacing, repairing, and maintaining cable television systems, master television antenna systems, security, and similar systems, roads, walkways, bicycle pathways, lakes, ponds, wetlands, drainage systems, effluent reuse mains, street lights, signage, and all utilities, including, but not limited to, water, sewer, meter boxes, telephones, gas, and electricity); provided the exercise of this easement shall not unreasonably interfere with the use of any Lot and, except in an emergency, entry into any Lot shall be made only after reasonable notice to the Owner or occupant thereof.

Without limiting the generality of the foregoing, there are hereby reserved for the local water supplier easements across all Lots and the Common Areas for ingress, egress, installation, reading, replacing, repairing, and maintaining water meter boxes and other necessary water distribution facilities. Notwithstanding anything to the contrary contained in this provision, no sewers, electrical lines, water lines, or other utilities may be installed or relocated on any Lot except as may be approved by the Board or as provided by the Declarant; nor may such be installed in a manner causing damage to existing Improvements or precluding use of a Lot for the purposes permitted herein.

Should any entity furnishing a service covered by the general easement herein provided request a specific easement by separate recordable document, the Declarant or the Board shall

have the right to grant such easement over any Lot without conflicting with the terms hereof. The easement provided for in this provision shall in no way adversely affect any other recorded easement on the Property.

The Board shall have, by a two-thirds (2/3) vote, the power to dedicate portions of the Common Area to Osceola County, Florida, or to any other local, or federal governmental entity, subject to such approval requirements as may be contained elsewhere in this Declaration.

36. Accessory Buildings. No tool shed, lean-to, or other accessory building or out-building may be placed upon a Lot except in the rear and only after the Owner has obtained Board approval therefor and approval from the Master Association as required elsewhere herein for the construction of Improvements. Any accessory building on a Lot shall be maintained in good repair and attractive condition.

37. Landscaping. All Lots shall be attractively landscaped and well manicured. All Lots shall be fully sodded with St. Augustine grass, except in areas where other attractive landscaping features are placed. The Owner shall promptly resod any area on a Lot where sod has died or been removed. No portion of a Lot may be paved or similarly covered except as may be approved by the Board or its designee and by the Master Association. All Lots at all times must have a minimum of three trees (except for palm trees) at least 2 inches in diameter (measured at 12 inches above the ground). A minimum of two trees must be planted in the front yard. Except for palm trees, the trees planted may be oak, magnolia, holly, etc. Palm trees may be planted in addition to but not as a substitute for the minimum tree planting requirement. The landscaping of all Lots must at all times comply with the landscaping requirements of the Design Standards and meet or exceed the landscaping requirements of Osceola County. All Lots shall be equipped with an underground irrigation system adequate to supply adequate water to all landscaping on the Lot.

38. Garages. All garages shall be designed for a minimum of two automobiles. No garage may be placed on a Lot unless attached to and made an integral part of the dwelling. All garages shall resemble in color, materials, and architecture the dwelling to which they are attached. No garage may be constructed on a Lot unless the plans are first approved by the Master Association as required elsewhere in this Declaration. No garage may be converted to living space. Carports on Lots are prohibited.

39. Sidewalks and Paths. Sidewalks complying with the Design Standards shall be constructed on each Lot. The sidewalks shall extend from the lot-line on each side of the Lot that borders on a street or right-of-way. The sidewalks on each Lot shall connect with the sidewalks on the adjacent Lots. Each Owner shall maintain all sidewalks and paved walks and paths on his Lot in good repair, and shall not allow sidewalks upon his Lot to become obstructed.

40. Pumps and Mechanical Equipment. Air conditioning units, pools or irrigation pumps and motors, and other pumps and mechanical equipment on a Lot shall be concealed from view from adjacent property and from all streets and right-of-ways.

41. Gardens. No vegetables or other garden for raising produce shall be permitted within the Property unless concealed from view from adjacent properties and right-of-ways.

42. Access to Streets. No more than one driveway may be placed on any Lot. All Lots adjacent to more than one street or right-of-way may directly access only one such street or right-of-way; and the street or right-of-way so accessed, and the design of the access, must be approved by the Master Association.

43. Perimeter Wall. A perimeter wall or fence encircling much of the Property has been constructed or is planned for construction by the Declarant. This perimeter wall lies or may be constructed to lie upon Lots near the boundary of the affected Lots. Declarant hereby reserves an easement across all Lots for the purpose of constructing and maintaining this perimeter wall and for the purpose of providing access to the construction and maintenance thereof. No Owner upon whose Lot a portion of the perimeter wall lies may damage or alter the perimeter wall.

CONSTRUCTION AND BUILDING RESTRICTIONS

44. Architectural Control. No Improvement, alteration, construction, installation, excavation, demolition, erection, or any work or activity that may change the configuration or appearance of a Lot or of Improvements thereon, may be commenced or performed on a Lot until the approval procedures prescribed by the Master Declaration have properly and timely been followed and approval in connection therewith has been given.

45. Declarant's Variances from Design Standards. With respect to particular proposed Improvements, Declarant shall be allowed to grant variances from requirements of the Design Standards, provided that Declarant concludes in its discretion that the variance shall not substantially detract from the appearance or aesthetic quality of Formosa Gardens. A variance so granted by Declarant shall be honored by the Master Association.

46. Vacant Lots. Within ninety (90) days after the conveyance of a Lot by Declarant, the Owner of the Lot shall either submit plans for the construction of a home as required herein and in the Master Declaration, or he shall fully sod that Lot and install thereon the underground irrigation system required by this Declaration. Each Owner so sodding and irrigating a Lot shall be obligated periodically to pay the Association, in addition to other amounts due the Association hereunder, a maintenance fee fixed by the Association, which maintenance fee shall be a lien on the applicable Lot of the same nature and enforceable in the same manner provided herein for other liens of the Association. The Association will maintain in the condition the Association deems appropriate all Lots so sodded and irrigated. If any Owner fails to comply with this provision, the Association shall have the right to cause the Owner's Lot to be sodded and irrigated, and thereafter to be maintained, and the Owner shall reimburse the Association for the cost of sodding, irrigating, and maintaining immediately on demand, and those costs shall constitute liens on the applicable Lot of the same nature and enforceable in the same manner provided herein for other liens of the Association. The Association shall have no liability whatsoever to the Owner for exercising the right provided in this provision to sod, irrigate, and maintain a Lot.

47. Home Size. The home constructed on each Lot shall have a minimum of 1,500 square feet of living area. For purposes of this provision, the term "living area" refers to air conditioned space, under roof, and does not refer to patios, verandas, porches, and similar areas. In addition, no residence or other improvements located on Lot 19 or Lot 20 shall exceed one story in height.

48. Fences. No boundary wall, fence, or fencing-type barrier, including without limitation, shrubs and hedges shall be placed, allowed, or maintained on a Lot without the prior written consent of the Master Association or its designee as required above. The Master Association may issue guidelines detailing acceptable fence styles or specifications, but in no event may chain link fence or hog wire fence be approved. No cages, dog runs, animal pens or similar enclosures shall be permitted on a Lot without prior approval of the Master Association.

49. Pools. No above-ground swimming pools shall be permitted on any Lot. No construction of an in-ground pool shall commence unless prior written approval has been given pursuant to this Declaration. All in-ground pools receiving architectural approval given pursuant this Declaration shall be installed, constructed, and screened in accordance with all applicable County ordinances.

50. Lot Area and Frontage. Every dwelling erected on any Lot shall front or present a good frontage on the street on which the Lot fronts. Dwellings on corner Lots shall have a presentable frontage on all streets on which the particular corner Lot abuts.

51. Roofs. The exterior surface of all roofs shall be installed and maintained in color and design, to the requirements of the Design Standards.

52. Design Standards. The Design Standards contemplated by the Master Declaration shall, where applicable, control Improvements within the Property. All Improvements within the Property shall comply with the Design Standards as well as with this Declaration and the Master Declaration.

STREETS

53. Rules and Regulations. The Association shall have the right from time to time to adopt and enforce reasonable rules and restrictions relating to use of the Streets. All such rules and restrictions promulgated by the Association shall be deemed a part of this Declaration as if fully set forth herein and may be enforced in the same manner as is permitted herein for enforcement of this Declaration.

54. Parking and Obstructions within Street. The parking of vehicles within a Street is prohibited except for momentary parking and for isolated special circumstances such as special gatherings or events of which the affected Owner has given the Association no less than three (3) days prior written notice. No vehicle may be parked within the Streets in a manner that hinders the flow of the traffic, hinders access to private driveways or to other streets, creates a safety

hazard, or that the Association in its sole discretion otherwise deems a nuisance or unreasonable inconvenience, obstruction or disturbance. No other obstruction shall be permitted within a Street. The Association shall have the right to tow vehicles or to remove other obstructions within a Street in violation of this provision. Notwithstanding the foregoing, the Declarant and the Association and their designees shall be permitted partially to obstruct Streets in connection with their performance of functions or the exercise of rights provided herein.

55. Prohibited Vehicles. The following vehicles are prohibited within the Streets:

- (a) Heavy equipment, tractor-trailers, and other construction or commercial vehicles.
- (b) Recreational and all-terrain vehicles, and the like.
- (c) Any other vehicle that the Association determines in its discretion is a nuisance or unreasonable inconvenience or disturbance, or likely to cause extra-ordinary damages or pose an unreasonable hazard.

The Association will promulgate rules and restrictions relating to the permitted and prohibited vehicles within the Streets. Those rules and restrictions may allow temporary approval of any vehicle prohibited above under circumstances that the Association deems reasonable.

56. Security Gates and Security Measures. The Declarant or the Association shall have the right in its sole discretion to place security gates across the Streets at intersections with other streets (whether private or public) in order to restrict access to the Property. The Declarant and the Association shall also have the right to take other security measures as may become necessary in the Declarant's or the Association's judgment to ensure safety and security within the Property.

57. Speed Limits. The maximum permitted speed of any vehicle operating upon the Streets is fifteen (15) miles per hour. The Declarant or the Association shall have the right to reduce or increase the maximum permitted speed limit upon the Streets if the Declarant or the Association deems such necessary in order to protect the peace and safety of the community. The Declarant or the Association shall also have the right to place bumps and other speed control devices upon the Streets in order to ensure compliance with the maximum permitted speed limits upon the Streets. Notwithstanding the foregoing, the maximum permitted speed limit on the Streets may never be increased to exceed twenty (20) miles per hour, which is the maximum speed for which the Streets were designed.

58. Emergency Vehicles and Utilities. Notwithstanding any other provisions of this Declaration to the contrary, the Declarant hereby reserves, grants, and creates a perpetual nonexclusive easement under, upon, and over the Property for the purpose of providing ingress and egress to the Lots for the police, fire, ambulance, and other emergency vehicles, for providing refuse collection and other utility services to the Lots, and for the installation, and operation of utilities equipment and facilities serving the Property. The Association shall have

the right to designate a single refuse collection service to enjoy the easement hereby granted. Notwithstanding the foregoing, if in exercising the easement created in this provision the applicable government, quasigovernment, or utility entity damages or disrupts any property belonging to the Association (including without limitation the Streets), that entity at its own expense shall cause the damaged property to be restored or replaced to its previous condition.

59. Sewer and Water Easements. Declarant hereby reserves under, upon, and above the Property a perpetual nonexclusive easement in favor of Declarant, the City of Kissimmee, and their successors and assigns for the purpose of installing, maintaining, repairing, and replacing sanitary sewer collection and potable water distribution equipment and facilities, provided such equipment and facilities are intended for the benefit of the Property or of any other portion of Formosa Gardens. If the City in making use of this easement damages or destroys any property belonging to the Association (including, without limitation, the Streets) the City at its own expense shall restore or replace the damaged property.

60. Construction Vehicles. Notwithstanding any contrary language above, the Streets may be used during daylight hours by construction vehicles being operated in connection with Improvements that have been previously approved as required by this Declaration. The rules and restrictions to be promulgated by the Association relating to use of the Streets may include guidelines on the operation of construction vehicles pursuant to this provision. Any damage to the streets, curbs, gutters, or other common improvements caused by construction vehicles operated upon the Streets shall be repaired or replaced by, and at the expense of, the Owner or Owners for whose benefit the construction vehicles that caused the damage were being operated. In addition, each contractor, subcontractor, or other owner or operator of a construction vehicle upon the Streets shall be obligated to repair or replace all damage within the Property resulting from the operation of construction vehicles upon the Streets. The Association may condition its approval of any proposed improvements within the Property upon the applicable Owner's posting a cash bond of not less than seven hundred fifty dollars (\$750.00) securing the payment of all repairs or replacements of damages resulting from the operation of construction vehicles upon the Streets. Each contractor, subcontractor, materialman, laborer, or other construction related person or firm, by accepting use of the Streets, does thereby consent to the terms of this provision and agrees to be bound to pay the cost of any construction-related damage within the Property.

61. Rights of Declarant. Declarant hereby reserves unto itself, its successors, and assigns, a perpetual easement upon, beneath, and above the Streets for all reasonable purposes that the Declarant may consider necessary or desirable in its sole discretion.

HOMEOWNERS ASSOCIATION

62. Association Playground. Any playground, play areas or equipment or other recreational facilities furnished by the Association or erected within the Property shall be used at the risk of the user, and neither the Declarant nor the Association shall be held liable to any person for any claim, damage, or injury occurring thereon or related to the use thereof.

63. Association's Responsibility. The Association shall maintain and keep in good repair the Common Area. This maintenance shall include, without limitation, maintenance, repair, and replacement of all landscaping, flora, structures, and Improvements situated on the Common Area. In addition, the Association shall have the right, but not the obligation, to maintain property not owned by the Association where the Board has determined that such maintenance would benefit all Owners. Except as otherwise specifically provided herein, all cost associated with maintenance, repair, and replacement of Common Areas shall be expense allocated among all Lots as part of the Annual and Special Assessments.

64. Maintenance of Conservation Areas. The properties designated on the Plat as "conservation and stormwater management areas", "conservation buffers" or "conservation easements", "drainage easements", and the like are Common Areas and will be maintained by the Association. The Master Association, at its discretion, may assume from the Association control of any responsibility for all Common Areas. Notwithstanding the foregoing, the applicable Owner will be responsible for maintaining in a clean, safe, attractive, and properly-functioning condition all areas on Owner's Lot designated on the Plat as utility or drainage easements. All Owners whose properties are beneath or contiguous to a Conservation Area must not cause or allow any damage to the Conservation Area or violation of restrictions and requirements relating to the Conservation Areas. No Owner whose properties are affected by or contiguous to Conservation Area shall allow drainage from his properties into the Conservation Area in a manner that violates this Declaration or permits or orders relating to the Conservation Areas. All Owners whose properties include Conservation Areas shall maintain those Conservation Areas in their natural state and in accordance with this Declaration and all permits and orders relating to the Conservation Area unless the Association assumes or is given that responsibility. Without limiting the generality of the foregoing restrictions, all Owners and all persons coming upon the Property shall fully comply with all requirements and restrictions relating to Conservation Areas contained in that certain drainage permit no. 49-00507-8 issued for the development by the South Florida Water Management District.

65. Association's Responsibility to Maintain Conservation Areas. The Association at its own expense shall ensure that all Conservation Areas belonging or dedicated to the Association are maintained in their natural state. The Association at its own expense shall also enforce all restrictions and requirements of this Declaration, of the drainage, DRI, and other permits and orders for the development, and of all laws, regulations, codes and ordinances, relating to the Conservation Areas. Without limiting the generality of the foregoing requirements, the Association shall be responsible for implementing the requirements for monitoring the Conservation Areas that are contained in that certain drainage permit no. 49-00507-8 issued for the development by the South Florida Water Management District.

66. Enforcement of Restrictions Relating to Conservation Areas. The South Florida Water Management District and Osceola County are expressly authorized to enforce all Restrictions relating to Conservation Areas. The South Florida Water Management District and Osceola County are also authorized to enter upon all easements and exercise such other rights that this Declaration provides for enforcement of the Restrictions relating to the Conservation Areas and for remedying violations of those Restrictions. The Developer, the Association, and

all Owners shall also have the right to enforce compliance with all Restrictions relating to Conservation Areas.

67. Creation of Taxing Unit for Maintenance of Conservation Areas. If Developer, the Association, the Master Association, the County, or the South Florida Water Management District deems such necessary or desirable, they, or any of them, may cause a municipal service taxing unit to be created on the Property for the purpose of generating revenues for maintenance and preservation of the Conservation Areas, of street lights, or retention ponds, of roads, for providing sanitation services, and for other reasons. Each Owner takes title subject to this potential for creation of a municipal service taxing unit and consents to the creation thereof. Developer reserves for itself and for the Association and Master Association the right to give written consent on behalf of any Owner to creation of a municipal service taxing unit for maintenance and preservation of Conservation Areas or for any other reason. Owner will be obligated to pay all taxes and assessments levied by any municipal service taxing unit created pursuant to this provision; and title for the properties of each Owner will be subject to liens for failure to pay those levies.

68. Use of Conservation Areas. The Conservation Areas may not be used for any purpose except such limited low-impact purposes that the South Florida Water Management District in its discretion may approve. Without limiting this restriction on the use of the Property, the following uses and activities are expressly prohibited in the Conservation Areas:

A. Construction or placing of buildings or improvements under or upon the Conservation Areas;

B. Dumping or placing soil or other substances or materials (including without limitation trash, waste, and debris) on or under the Conservation Areas;

C. Removal or destruction of trees, shrubs, or other vegetation growing within the Conservation Areas (except as approved by the South Florida Water Management District);

D. Excavation, dredging, or removal of soil or materials from the Conservation Areas;

E. Diking or fencing any of the Conservation Areas;

F. Any other activity that is or may be detrimental to drainage, flood control, water conservation, erosion control, or fish and wildlife habitat conservation.

69. Maintenance of Drainage Facilities. The Association shall be responsible for maintaining all drainage facilities on or in the properties within the Association's jurisdiction in good repair, free from debris and obstructions, and in compliance with the requirements of the drainage permit issued by the South Florida Water Management District for construction, operation, and maintenance, of the drainage facilities for the development. The Association shall

also operate the drainage facilities in the manner in which they were designed and in accordance with the requirements of the drainage permit referred to above.

70. Dedication of Surface Water Management System. The surface water management system located within the Property is hereby dedicated and conveyed to the Association and declared a Common Area. The assessment and dues that other provisions of the Declaration allow the Association to levy shall be deemed to allow levy of those dues and assessments to cover costs and expenses of operating and maintaining the surface water management system. Notwithstanding any contrary provision of this Declaration, no amendment of this Declaration that affects the surface water management system within the Property will be valid unless first approved by the South Florida Water Management District.

71. Declarant's Exercise of Association Rights. Until formation of the Association, Declarant shall have the right to exercise all right, discretion, and authority granted the Association by this Declaration.

72. Duty to Enforce. It shall be the legal duty and responsibility of the Association to enforce payments of the Assessments hereunder and to require compliance with all other provisions hereof.

73. Use of Common Areas. The Board may adopt reasonable rules and regulations for use and maintenance of Common Areas, and all Owners' rights relating to the Common Area shall be subject to those rules and regulations. The Association shall not unreasonably restrict any Owner's right to peaceably assemble or right to invite public officers or candidates for public office to appear and speak in Common Areas and recreational facilities.

74. Landscape and Wall Easement. The landscape and wall easement delineated and created on the Plat will be for the use and benefit of the Association. The Association will have the right to place and maintain under, upon, and above the property affected by that easement utilities equipment, walls and fences, flora, trees, shrubs, plants, and other landscaping, irrigation systems, signs and entry features, and other objects. The Association and its representatives will also have the right to enter upon the Property affected by this easement and upon surrounding property for the purpose of gaining access to and making use of the landscape and wall easement referred to above.

75. Easement for Access. The Association and the Declarant shall have an easement to enter upon all portions of the Property for the purpose of gaining access to, using, maintaining, repairing, or replacing all easements, licenses, buffers, right-of-ways, and the like owned by, benefitting, controlled by, or maintained by the Association, provided that in such passage no improvements or property are damaged.

76. Enforcement. Each Owner and every occupant of a Lot shall comply strictly with the Bylaws of the Association, and with the covenants, conditions, and restrictions set forth in this Declaration and in the Master Declaration. The Board may impose fines or other sanctions for the violation of these Restrictions, which shall be collected as provided herein for the

collection of Assessments. Failure to comply with this Declaration or the Bylaws, or the Master Declaration, shall be grounds for an action to recover sums due for damages or injunctive relief, or both, maintainable by the Board, on behalf of the Association, or, in a proper case, by an aggrieved Owner. Failure by the Association or any Owner to enforce any of the foregoing shall in no event be deemed a waiver of the right to do so thereafter. The Association may suspend, for a reasonable period of time, the rights of a member or a member's tenants, guests, invitees, or both, to use Common Areas and facilities and may levy reasonable fines, not to exceed \$100 per violation, against any member or any tenant, guest or invitee. A fine may be levied on the basis of each day of a continuing violation, with a single notice and opportunity for hearing, except that no such fine shall exceed \$10,000 in the aggregate. Fines and suspensions shall be governed by the following:

(a) A fine or suspension may not be imposed without notice of at least 14 days to the person sought to be fined or suspended and an opportunity for a hearing before a committee of at least three members appointed by the Board who are not officers, directors, or employees of the Association, or the spouse, parent, child, brother or sister of an officer, director, or employee. If the committee, by majority vote, does not approve a proposed fine or suspension, it may not be imposed.

(b) The requirements of this section do not apply to the imposition of suspensions or fines upon any member because of the failure of the member to pay assessments or other charges when due.

(c) Suspension of common-area use rights shall not impair the right of an Owner or tenant of a Lot to have vehicular and pedestrian ingress to and egress from the Lot, including, but not limited to, the right to park.

(d) The Association may suspend the voting rights of a member for the nonpayment of regular annual assessments that are delinquent in excess of ninety (90) days.

77. Self-Help. In addition to any other remedies provided for herein or permitted by law, the Association or its authorized agent shall have the power to enter upon a Lot or any portion of the Common Area to abate or remove, using such force as may be reasonably necessary, any erection, thing or condition which violates this Declaration, the Bylaws or other applicable restrictions. Unless an emergency situation exists, the Board shall give the violating Lot Owner ten (10) days' written notice of its intent to exercise self-help. All cost of self-help, including reasonable attorney's fees actually incurred shall be assessed against the violating Lot Owner and shall be collected as provided for herein for collection of Assessments.

78. Cumulative Remedies. In addition to the remedies specifically allowed herein for a violation of these restrictions, the Association shall be entitled to exercise all other available remedies, whether at law or in equity. The Association's exercise at any time of a particular remedy shall not be deemed an election of remedies; but the Association shall be permitted to exercise such additional or alternative remedies as it may desire in its discretion.

MISCELLANEOUS PROVISIONS

79. Overall Development. The property is a portion of a large development contained in a single development plan. In order to effect that development plan, Declarant may add or withdraw property from this Declaration by amendment or supplement. Any such amendment or supplement may withdraw Common Area, add Common Area, or require that Common Area be shared with owners of neighboring properties, and may also withdraw, add to, or require sharing of other rights, authority, or obligations of Owners or the Association.

80. Master Declaration Counterpart Provisions. No provision hereof that is less restrictive than its counterpart, if any, in the Master Declaration shall be deemed to relax or abrogate the requirements of that provision of the Maser Declaration. All provisions of the Master Declaration that are more restrictive than counterparts contained herein shall remain enforceable according to their terms.

81. Assignment of Rights and Duties to Association. The Declarant may at any time assign and delegate to the Association all or any portion of the Declarant's rights, title, interest, duties, or obligations created by this Declaration. It is understood that the Association has been formed as a property owners association in order to effectuate the intent of the Declarant for the proper development, operation and management of the Property. Wherever herein the Declarant or the Association, or both, are given a right, power, authority, discretion, or the like, or a duty or function, such action may be taken by either the Declarant or the Association until such time as the Declarant has recorded in the public records an instrument abrogating that right, power, authority, discretion, or the like, or duty or function. Thereafter, all rights, duties and obligations of the Declarant shall be administered solely by the Association in accordance with procedures set forth herein and in the Governing Documents, unless the Declarant shall specify otherwise.

82. Right of Entry in Favor of the Association. The Association acting through its authorized agents and employees, shall have the right to enter any portion of the Property, including individual Lots, for the purpose of conducting an inspection to determine whether any maintenance, repair or replacement is necessary, or to ascertain an Owner's compliance with the provisions of this Declaration, or in case of an emergency such as fire, flood or hurricane, or for performance of any maintenance, repair or replacement of any portion of the Property, including individual Lots, so long as such entry is made at reasonable time and upon reasonable notice to the Owner of any such Lot. Each Owner hereby appoints the Association as the Owner's agent for the purpose provided in this provision and agrees that the Association shall not be liable for any alleged property damage, injury or theft caused or occurring on account of such entry and inspection by the Association.

83. Late Payment Penalty. In addition to interest accruing pursuant to another provision hereof on delinquent Assessment payments, the Association may levy a late fee of 10% of the delinquent payment or of \$25.00, whichever is greater, for each month the Assessment remains unpaid, beginning with the original due date of an unpaid Assessment. The Assessment

liens created by another provision of this Declaration shall also secure penalties levied pursuant to this provision.

84. Amendment by Declarant. This Declaration may be amended unilaterally at any time and from time to time by Declarant for any reason and in any manner that Declarant may decide in its sole discretion, including without limitation for the following reasons; (a) if amendment is necessary to bring any provision hereof into compliance with any applicable governmental statute, rule, or regulation or judicial determination which shall be in conflict therewith; (b) if amendment is necessary to make this Declaration consistent with the Master Declaration or other Governing Documents of the Master Association; (c) if amendment is necessary to enable any reputable title insurance company to issue title insurance coverage with respect to any Lots; (d) if amendment is required by an institutional or governmental lender or purchaser of mortgage loans, including, for example, the Federal National Mortgage Association or Federal Home Loan Mortgage Corporation, to enable the lender or purchaser to make or purchase mortgage loans on the Lots; (e) if amendment is necessary to enable any governmental agency or reputable private insurance company to insure mortgage loans on the Lots; or (f) if amendment is necessary to place the Lots in compliance with the land sales laws of any state or federal government or government agency. Notwithstanding the foregoing, Declarant may not by amendment hereof withdraw a substantial right herein granted to an Owner. Notwithstanding the foregoing, no amendment to this Declaration that affects the surface water management system within the Property will be effective unless first approved by the South Florida Water Management District.

85. Assignment by Declarant. Declarant shall have the right in its discretion to assign or delegate, permanently or temporarily, to any person at any time one or more of Declarant's rights or authority under this Declaration; and for purposes of exercising a right or authority so assigned or delegated, the assignee or delegatee shall be deemed the "Declarant."

86. Occupants Bound. All provisions of this Declaration which govern the conduct of Owners and which provide for sanctions against Owners shall also apply to all occupants of any Lot.

87. Compliance with Laws. All rights granted in this Declaration and all activities permitted herein shall be exercised and performed in compliance with all applicable laws, regulations, codes, and ordinances. No provision hereof shall be construed as permission to violate any applicable laws, regulation, code or ordinances, and violations of such with respect to a Lot may be considered by the Association as a violation of this Declaration. Notwithstanding, the Association shall have no obligation to enforce such laws, regulations, codes, or ordinances.

88. Term. These restrictions shall encumber the Property and bind all Owners, their successors and assigns for a term of fifty (50) years from the date this Declaration is recorded, after which time they shall be automatically extended for successive periods of ten (10) years, unless an instrument in writing, signed by a majority of the then Owners, has been recorded within the year preceding each successive period of ten (10) years, agreeing to change these

covenants and restrictions, in whole or in part, in which case this Declaration shall be modified or terminated as specified or terminated as specified therein.

89. Indemnification. The Association shall indemnify every officer, director, and committee member against any and all expenses, including counsel fees, reasonably incurred by or imposed upon such officer, director or committee member in connection with any action, suit, or other proceeding (including settlement of any suit or proceeding, if approved by the then Board) to which he or she may be a party by reason of being or having been an officer, director or committee member. The officers, directors, and committee members shall not be liable for any mistake of judgment, negligent or otherwise, except for their own individual willful misfeasance, misconduct, or bad faith. The officers and directors shall have no personal liability with respect to any contract or other commitment made by them, in good faith, on behalf of the Association (except to the extent that such officers or directors may also be Members of the Association), and the Association shall indemnify and forever hold each officer and director free and harmless against all liability to others on account of any such contract or commitment. Any right to indemnification provided for herein shall not be exclusive of any other rights to which any officer, director, or committee member, or former officer, director, or committee member may be entitled. The Association shall maintain adequate general liability and officers' and directors' liability insurance to fund this obligation, if insurance is reasonably available.

90. Severability. All covenants and restrictions of this Declaration are separate and independent. Invalidity of any one of these covenants or restrictions by judgment or court order shall in no way affect any other provisions, which shall remain in full force and effect.

91. Covenants Run with Land. All restrictions, reservations, covenants, conditions and assessments contained in this Declaration shall constitute covenants running with the land, and all grantees, devisees, or mortgagees, their heirs, personal representatives, successors and assigns, and all parties claiming by, through or under such persons, agree to be bound by the provisions of (a) this Declaration and (b) the Articles of Incorporation and Bylaws of the Association.

92. Effect of Waiver of Violation. No waiver of a breach of or violation of any of the terms, provisions and covenants in this Declaration, or in the Articles of Incorporation or Bylaws of the Association shall be construed to be a waiver of any succeeding breach or violation of the same term, provision or covenant.

93. Notice to Owners. Whenever notices are required to be given hereunder, the same shall be sent to the Owner by United States Mail or hand delivered at the address of the dwelling situated upon the Lot. Such notices shall be deemed given when deposited in the United States mail or delivered. Any Owner may change his mailing address by written notice to the Association at the official address of the Association as it may be designated from time to time.

94. Amendments. In addition to any other manner herein provided for the amendment of this Declaration, the covenants, restrictions, easements, charges and liens of this Declaration may be amended, changed, added to, derogated, or deleted at any time and from time to time

upon the approval of a seventy-five percent (75%) vote of the membership in the Association at a regular or special meeting called for that purpose. So long as the Declarant is the Owner of any Lot affected by this Declaration, the Declarant's consent to any amendment must be obtained before amending this Declaration. Additionally, the Declarant shall have the right, in its sole discretion, to amend this Declaration until the Declarant sells or conveys the last Lot in the subdivision. For so long as Declarant has the right to amend this Declaration, all subsequent grantees of the Property, hereby grant to Declarant their powers of attorney to effect any changes, amendments or modifications deemed desirable by Declarant in its sole discretion. Notwithstanding the foregoing, no amendment to this Declaration that affects the surface water management system within the Property will be effective unless first approved by the South Florida Water Management District.

95. Attorney's Fees. If the Association brings any judicial action against an Owner in connection with this Declaration, or if the Association is named or joined in any judicial action by an Owner or by reason of an Owner's acts or omissions, and the Association prevails in the action, that Owner shall pay to the Association all attorney's fees and court costs incurred by the Association in connection with that action, including fees and costs incurred in appellate proceedings.

96. Construction and Sale Period. It is understood that this Declaration is intended to proscribe use of the Lots by the occupants thereof after improvement of a Lot is completed and Declarant has sold the Lot. This Declaration is not intended to proscribe or restrict Declarant's efforts to improve or market Lots. Accordingly, no provision of this Declaration shall be construed to preclude activities necessary in Declarant's sole discretion effectively or efficiently to construct any Improvements within the Property or to market any Lot, nor to impose any requirements that Declarant determines in its sole discretion to be unreasonable or inapplicable to Declarant as developer of the Property. Without limiting the generality of the foregoing, no provision of this Declaration shall be construed to:

- (1) preclude operation of a sales office or of sales activities within the Property by Declarant or its agents or assigns;
- (2) preclude Declarant or its agents or assigns from erecting signs, flags, banners, or the like within the Property;
- (3) preclude Declarant or its agents or assigns from maintaining trailers, sheds, or other similar structures on Lot;
- (4) prohibit parking or placing of construction or commercial vehicles within the Property, or operation of any vehicle upon the Streets;
- (5) require landscaping of any Lot before Declarant has sold it.

To the extent any other provision of this Declaration may be subject to construction contrary to this provision, that provision shall be deemed not to apply to Lots owned by Declarant until the Lot is improved and occupied.

97. Declarant's Easement. Notwithstanding any contrary provisions contained in this Declaration, the Bylaws, the Articles, rules and regulations, and any amendments to any of the foregoing, Declarant hereby expressly reserves unto itself and its successors and assigns a non-exclusive, perpetual right, privilege, and easement under, upon and over the Property without obligation and without charges to Declarant, for the purpose of taking all actions related to or connected with construction, installation, relocation, development, sale, maintenance, repair, replacement, use and enjoyment, or otherwise dealing with the Property and any other property that may be added to the Property. The reserved easement shall constitute a burden on the title to the Property and specifically includes, but is not limited to:

- (a) the right of access, ingress and egress for vehicular and pedestrian traffic over, under, on, or in the Property; and the right to tie into any portion of the Property with driveways, parking areas, and walkways; and the right to install, maintain and operate effluent reuse mains and equipment; and the right to tie or otherwise connect and use (without a tap-on or any other fee for so doing), replace, relocate, maintain, and repair any device which provides utility or similar services, including without limitation, electrical, telephone, natural gas, water, sewer, and drainage lines and facilities constructed or installed in, on, under or over the Property;
- (b) the right to construct, install, replace, relocate, maintain, repair, use, and enjoy signs, model residences, and sales offices in the Property; and
- (c) the right and easement to enter upon the Lots, Common Areas, and other portions of the Property to perform such operations as in Declarant's sole discretion may be desirable, convenient, or incidental to the construction, lease, and sale of Lots or of portions of the Property or of the property subject to the Master Declaration.
- (d) No rights, privileges, and easements granted or reserved herein shall be merged into the title of any property, including, without limitation, the Lots, but shall be held independent of such title, and no such right, privilege, or easement shall be surrendered, conveyed, or released unless and until and except delivery of a quit-claim deed from Declarant releasing such right, privilege, or easement by express reference thereto.

98. Annexation by Declarant. As the owner thereof or, if not the owner, with the consent of the owner thereof, Declarant shall have the unilateral right, privilege, and option from time to time or any time until seven (7) years after the recording of this Declaration to subject additional properties to the provisions of this Declaration and the jurisdiction of the Association by filing for record in the public record a Supplementary Declaration in respect to the property being annexed. Any such annexation shall be effective upon the filing for record of such

Supplementary Declaration unless otherwise provided therein. The Declarant may unilaterally amend this Declaration to reflect the different character of any such annexed real property.

99. Indemnification. Each Owner agrees to indemnify, defend, and hold the Association and Declarant harmless from all claims, damages, cost, and other obligations and liabilities from or in connection with the activities or omissions of the Owner, his agents, representatives, invitees, or other persons for whom the Owner is responsible within the Property.

100. Discretion of the Board to Interpret Declaration. The Board shall have exclusive authority to interpret the meaning and requirements of each provision of this Declaration. All such interpretations of the Board, absent manifest error or abuse, shall be binding upon all Owners and their Lots.

101. Exercise of Association's Authority. Unless this Declaration, the Master Declaration, or one or more Governing Documents prescribe otherwise, the Board shall be entitled to exercise all rights, authority, and discretion given to the Association herein, without the vote of the Members, and all actions of the Board taken pursuant to such rights, authority, or discretion shall be presumed valid.

102. FHA and VA Approval. As long as there is a Class B membership, any amendments to this Declaration, dedication of Common Area, or annexation of additional land will require the prior approval of the Federal Housing Administration or the Veterans Administration if this Declaration has been previously submitted to and approved by the Federal Housing Administration or the Veterans Administration.

103. Rideshare Program. Notice is hereby given to all owners and all tenants and residents within the Property that the Orlando metropolitan area has an existing rideshare program operated by Tri-County Transit ("the Rideshare Program"). All such Owners, tenants and residents are encouraged to utilize the Rideshare Program. For further information, contact Tri-County Transit.

104. Beltway. Notice is hereby given to all owners and all tenants and residents within the Property that a beltway or expressway is planned to be located within one-quarter mile of the Property.

105. Community Systems.

(a) Declarant shall have the right, but not the obligation, to convey, transfer, sell or assign all or any portion of the Community Systems located within the Property, or all or any portion of the rights, duties or obligations with respect thereto to the Association or any other person or entity (including an Owner, as to any portion of a Community System located on or in such Owner's Lot). Without limiting the generality of Section 1(G) hereof, if and when any of the aforesaid entities receives such a conveyance, sale, transfer or assignment, such entity shall automatically be deemed vested with such rights of Declarant with regard thereto as are assigned

by Declarant in connection therewith; provided, however, that if the Association is the applicable entity, then any Community Systems or portions thereof shall be deemed Common Areas hereunder and the Association's rights, duties and obligations with respect thereto shall be the same as those applicable to other Common Areas unless otherwise provided by Developer. Any conveyance, transfer, sale or assignment made by Declarant pursuant to this Section: (i) may be made with or without consideration, (ii) shall not require the consent or approval of the Association or any Owner and (iii) if made to the Association, shall be deemed to have been automatically accepted (with all rights, duties, obligations and liabilities with respect thereto being deemed to have been automatically assumed).

(b) In recognition of the intended increased effectiveness and potentially decreased installation and maintenance costs and user fees arising from the connection of all Lots in the Property to the applicable Community Systems, each Owner and occupant of a Lot shall by virtue of the acceptance of the deed or other right of occupancy thereof, be deemed to have consented to and ratified any and all agreements to which the Association is a party which is based upon (in terms of pricing structure or otherwise) a requirement that all Lots be so connected and all Owners pay for basic cable television, alarm, security, Internet access or similar services through Association assessments. The foregoing shall not, however, prohibit the Association from making exceptions to any such 100% use requirement in its reasonable discretion.

(c) Declarant, the Association, or their successors, assigns or franchisees and any applicable cable telecommunications system operator (an "Operator"), may enter into contracts for the provision of security services through any Community Systems. DECLARANT, THE ASSOCIATION, OPERATORS AND THEIR FRANCHISEES, AND ANY OPERATOR, DO NOT GUARANTEE OR WARRANT, EXPRESSLY OR IMPLIEDLY, THE MERCHANTABILITY OR FITNESS FOR USE OF ANY SUCH SECURITY SYSTEM OR SERVICES, OR THAT ANY SYSTEM OR SERVICES WILL PREVENT INTRUSIONS, FIRES OR OTHER OCCURRENCES, OR THE CONSEQUENCES OF SUCH OCCURRENCES, REGARDLESS OF WHETHER OR NOT THE SYSTEM OR SERVICES ARE DESIGNED TO MONITOR SAME; AND EVERY OWNER OR OCCUPANT OF PROPERTY SERVICED BY THE COMMUNITY SYSTEMS ACKNOWLEDGES THAT DECLARANT, THE ASSOCIATION OR ANY SUCCESSOR, ASSIGN OR FRANCHISEE OF THE DEVELOPER DECLARANT OR ANY OF THE OTHER AFORESAID ENTITIES AND ANY OPERATOR, ARE NOT INSURERS OF THE OWNER OR OCCUPANT'S PROPERTY OR OF THE PROPERTY OF OTHERS LOCATED ON THE PREMISES AND WILL NOT BE RESPONSIBLE OR LIABLE FOR LOSSES, INJURIES OR DEATHS RESULTING FROM SUCH OCCURRENCES. It is extremely difficult and impractical to determine the actual damages, if any, which may proximately result from a failure on the part of a security service provider to perform any of its obligations with respect to security services and, therefore, every owner or occupant of property receiving security services through the Community Systems agrees that Declarant, the Association or any successor, assign or franchisee thereof and any Operator assumes no liability for loss or damage to property or for personal injury or death to persons due to any reason, including, without limitation, failure in transmission of an alarm, interruption of security service or failure to respond to an alarm because of (a) any failure of the Owner's security system, (b) any defective or damaged equipment, device, line or

circuit, (c) negligence, active or otherwise, of the security service provider or its officers, agents or employees, or (d) fire, flood, riot, war, act of God or other similar causes which are beyond the control of the security service provider. Every owner or occupant of property obtaining security services through the Community Systems further agrees for himself, his grantees, tenants, guest, invitees, licensees, and family members that if any loss or damage should result from a failure of performance or operation, or from defective performance or operation, or from improper installation, monitoring or servicing of the system, or from negligence, active or otherwise, of the security services provider or its officers, agents, or employees, the liability, if any, of Declarant, the Association, any franchisee of the foregoing and the Operator or their successors or assigns, for loss, damage, injury or death sustained shall be limited to a sum not exceeding Two Hundred Fifty and No/100 (\$250.00) U.S. Dollars, which limitation shall apply irrespective of the cause or origin of the loss or damage and notwithstanding that the loss or damage results directly or indirectly from negligent performance, active or otherwise, or nonperformance by an officer, agent or employee of Declarant, the Association or any franchisee, successor or assign of any of same or any Operator. Further, in no event will Developer, the Association, any Operator or any of their franchisees, successors or assigns, be liable for consequential damages, wrongful death, personal injury or commercial loss.

(d) In recognition of the fact that interruptions in cable television and other Community Systems services will occur from time to time, no person or entity described above shall in any manner be liable, and no user of any Community System shall be entitled to any refund, rebate, discount or offset in applicable fees, for any interruption in Community Systems services, regardless of whether or not same is caused by reasons within the control of the then-provider(s) of such services.

(e) Without limiting the generality of any other applicable provisions of this Declaration, and without such provisions limiting the generality hereof, Declarant hereby reserves and retains to itself:

(i) the title to any Community Systems and a perpetual easement for the placement and location thereof;

(ii) the right to connect, from time to time, the Community Systems to such receiving or intermediary transmission source(s) as Declarant may in its sole discretion deem appropriate including, without limitation, companies licensed to provided CATV service in Osceola County, Florida, for which service Declarant shall have the right to charge any users a reasonable fee (which shall not exceed any maximum allowable charge provided for in applicable governmental ordinances and regulations); and

(iii) the right to offer from time to time monitoring/alarm services through the Community Systems.

(iv) the right to offer from time to time Internet access services through the Community Systems.

Neither the Declarant, the Association nor any officer, director, employee, committee member or agent (including management company) thereof shall be liable for any damage to property, personal injury or death arising from or connected with any act or omission of any of the foregoing during the course of performing any duty or exercising any right or privilege (including, without limitation, performing maintenance work which is the duty of the Association or exercising any remedial maintenance or alteration rights under this Declaration) required or authorized to be done by the Association, or any of the other aforesaid parties, under this Declaration or otherwise as required or permitted by law.

IN WITNESS WHEREOF, Declarant has executed this instrument on the date first written above.

Signed, sealed and delivered
in the presence of:

[Signature]
Printed Name: James P. SANCIS UNIT

Marjorie Jerde
Printed Name: MARJORIE JERDE

"Declarant":

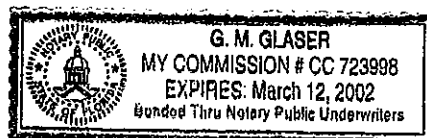
FORMOSA GARDENS HOMES, INC.,
a Florida corporation

By: *George Chen*
George Chen, President

STATE OF FLORIDA
COUNTY OF OSCEOLA

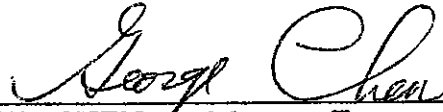
The foregoing instrument was acknowledged before me this 14 day of September, 2000, by George Chen, as President of FORMOSA GARDENS HOMES, INC., a Florida corporation, on behalf of the corporation. He is [☒] personally known to me, or [☐] has produced _____ as identification.

G. M. Glaser
NOTARY PUBLIC
My Commission Expires:

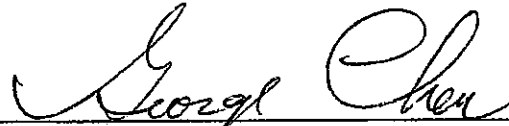


JOINDER

GEORGE CHEN, solely as Trustee under the provision of a certain Trust Agreement dated April 6, 1989, and GEORGE CHEN, solely as Trustee under the provisions of a certain Trust Agreement dated September 15, 1988, as Owner of record of the property made subject to this Declaration, hereby joins in and consents to this Declaration and declares that the Property shall be subject to all of the terms and conditions hereof.



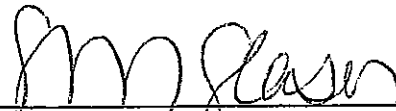
GEORGE CHEN, solely as Trustee under the provisions of a certain Trust Agreement dated April 6, 1989



GEORGE CHEN, solely as Trustee under the provisions of a certain Trust Agreement dated September 15, 1988

STATE OF FLORIDA
COUNTY OF OSCEOLA

The foregoing Joinder was acknowledged before me this 14 day of September, 2000, by GEORGE CHEN, solely as Trustee under the provisions of a certain Trust Agreement dated April 6, 1989, and GEORGE CHEN, solely as Trustee under the provisions of a certain Trust Agreement dated September 15, 1988, who is ☒ personally known to me, or ☐ has produced _____ as identification.



NOTARY PUBLIC

My Commission Expires:

